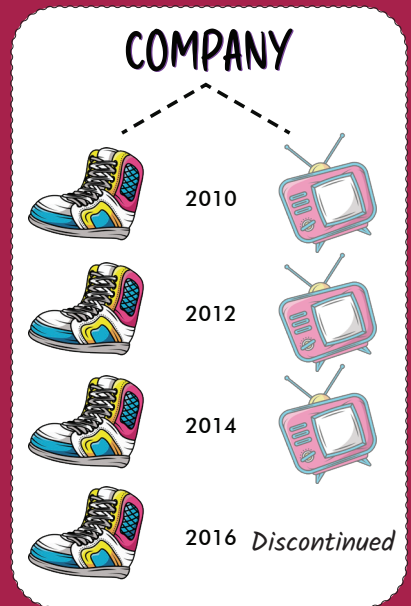


2. Discontinued activities

These are the company's business activities that have been stopped or sold off. We must remove them from income statements and cash flows since we want to make decisions that impact the future. Since these activities have been stopped, they have no impact on the future. Thus, we will not study these and also remove the impact of such discontinued activities from the numbers.

EXAMPLE

Company A was in two businesses: Shoes and TV. Now, the company has decided to discontinue the TV division. The past data and margins will include numbers from shoe and TV businesses. However, in the future, the numbers will be based only on the Shoe business. Thus, we must remove all TV-related numbers from past data, such as sales, expenses, and profits. After that, we must make a decision based only on the shoe business numbers.



Thus, these are two things we need to keep in mind when we fill out our raw data. These are one-offs that do not occur yearly and discontinued activities that will not affect future business.

So far, we understand the sources of raw data, and how to enter them into our spreadsheet. We understand how to normalize them. Let's now move forward and build further on this by understanding the difference between Standalone and Consolidated Statements and which numbers to use.

